ClimFin

Introduction to Climate Finance

Presenter

www.climfin.com

Session Objectives

Define climate finance and understand its importance

Understand the scope and use of climate finance

Identify key sources and financial instruments

ClimFin

What is Climate Finance?

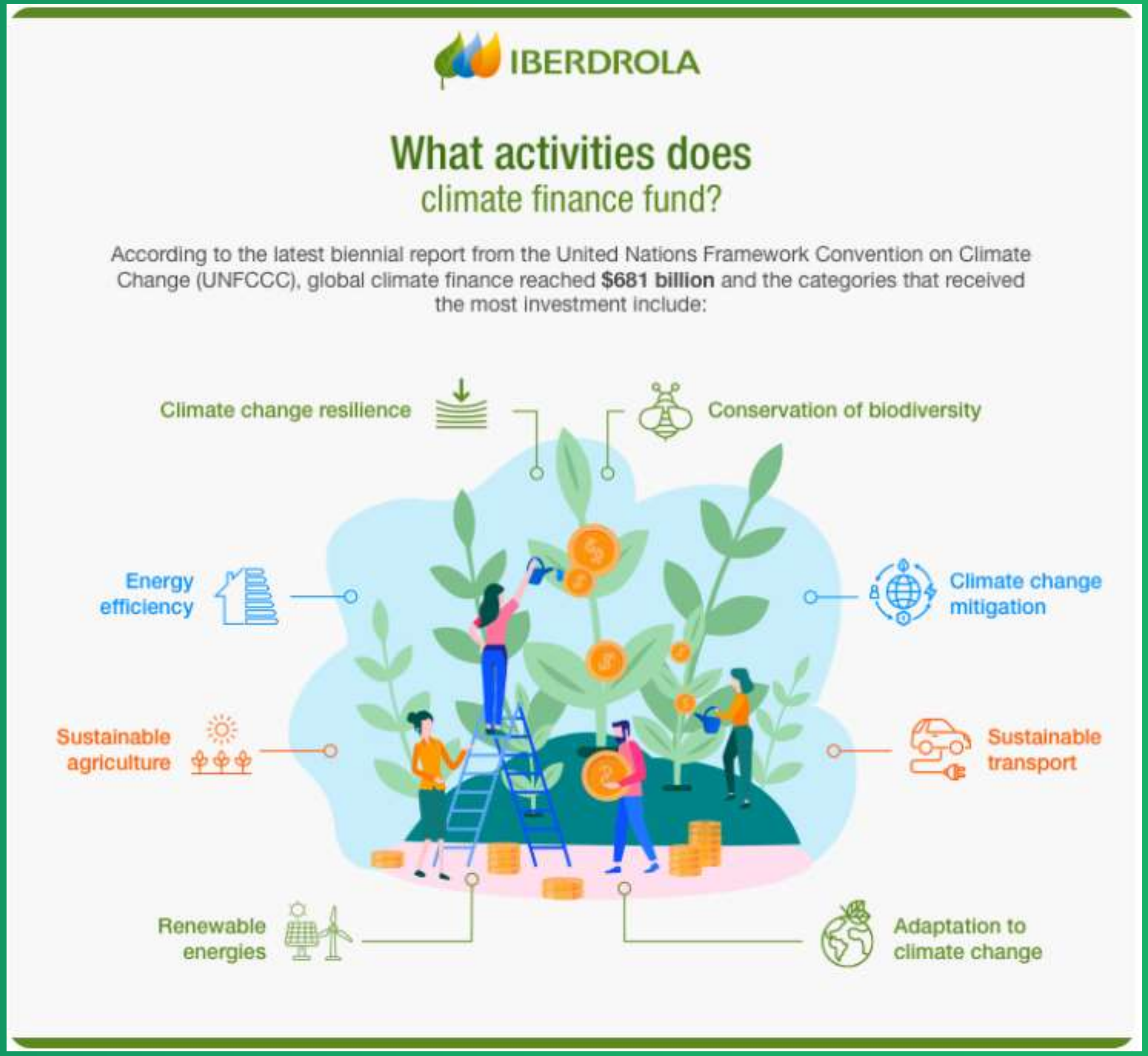
“local, national or transnational financing—drawn from public, private and alternative sources of financing—that seeks to support mitigation and adaptation actions that will address climate change.”

UNFCCC Definition. Introduction to Climate Finance

Financial resources aimed at supporting climate change mitigation and adaptation, and now loss and damage

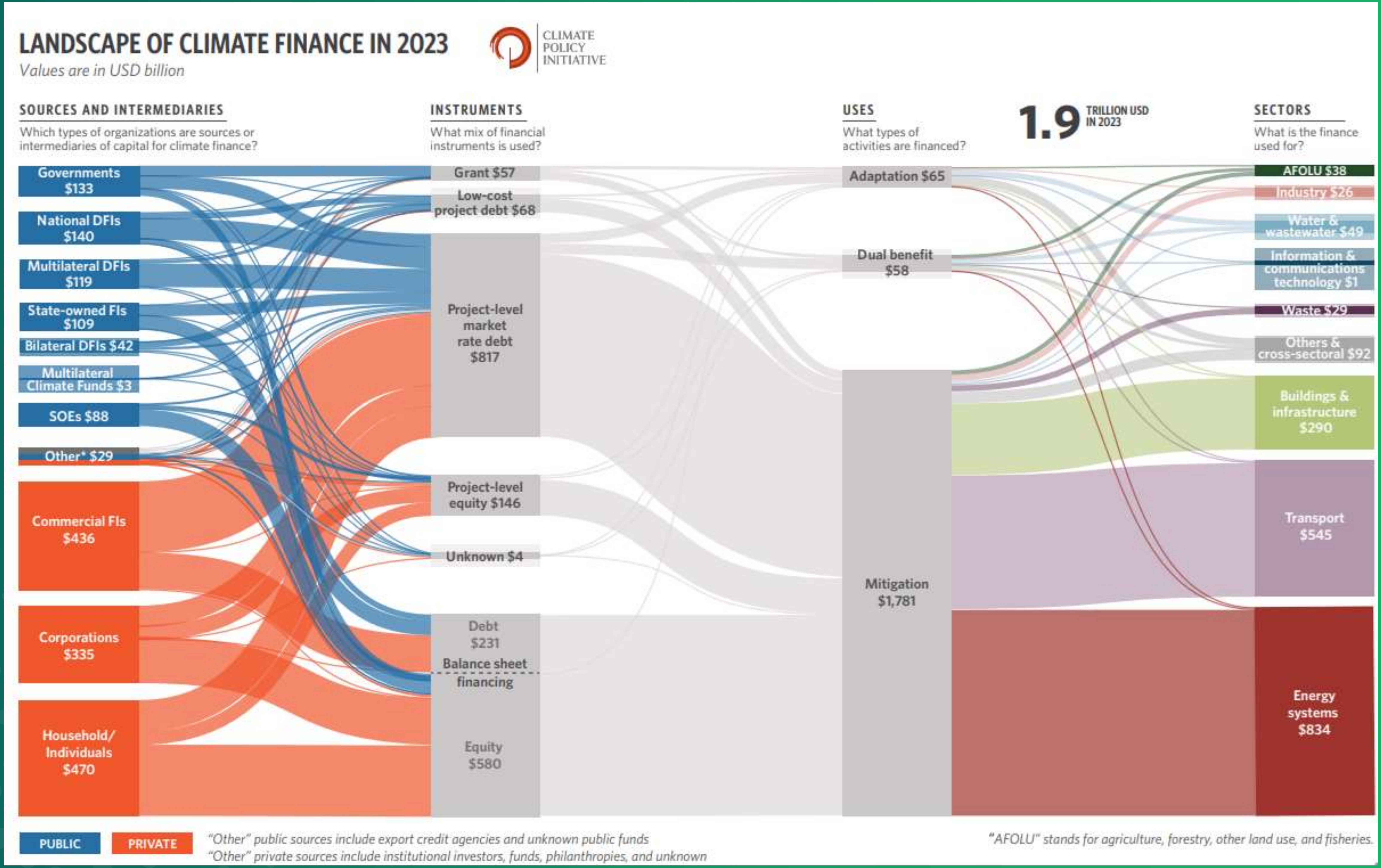
Moblized from public, private, bilateral, and multilateral sources

Benefits of the upfront costs of climate finance outweigh the costs of inaction



Source: Iberdrola. What is Climate Finance

ClimFin



Source: CPI Global Landscape of Climate Finance 2025

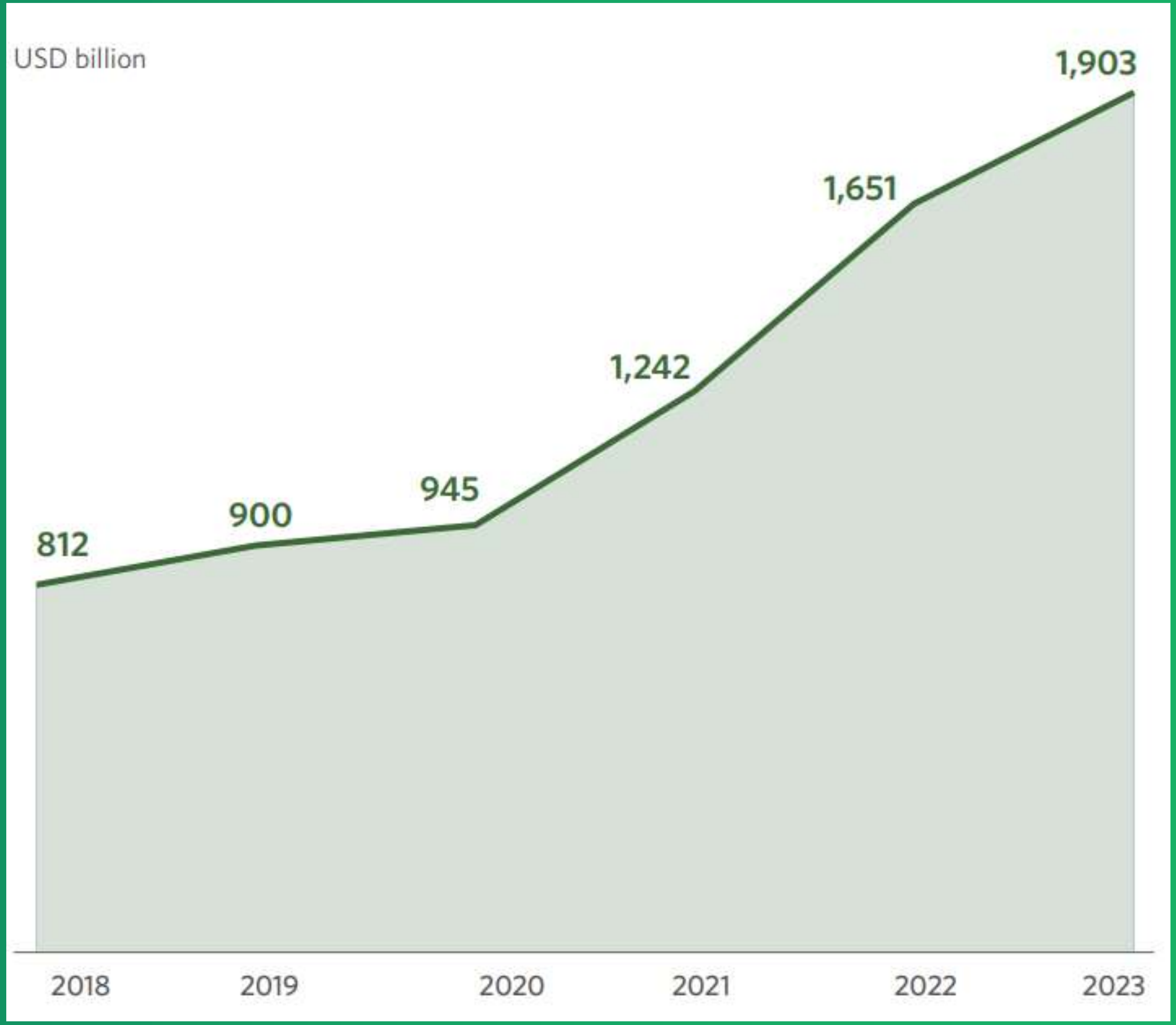
Climate Finance Overview

Climate finance hit a record of USD 1.9 trillion in 2023 (early 2024 estimates show excess of USD 2 trillion for the first time)

Climate financing has rapidly picked up pace, especially between 2021 – 2023

- 2021 – 2023 average annual investments increased by 26%
- Compared to annual growth rate of 8% between 2018 - 2020

However, there is still a financing gap…

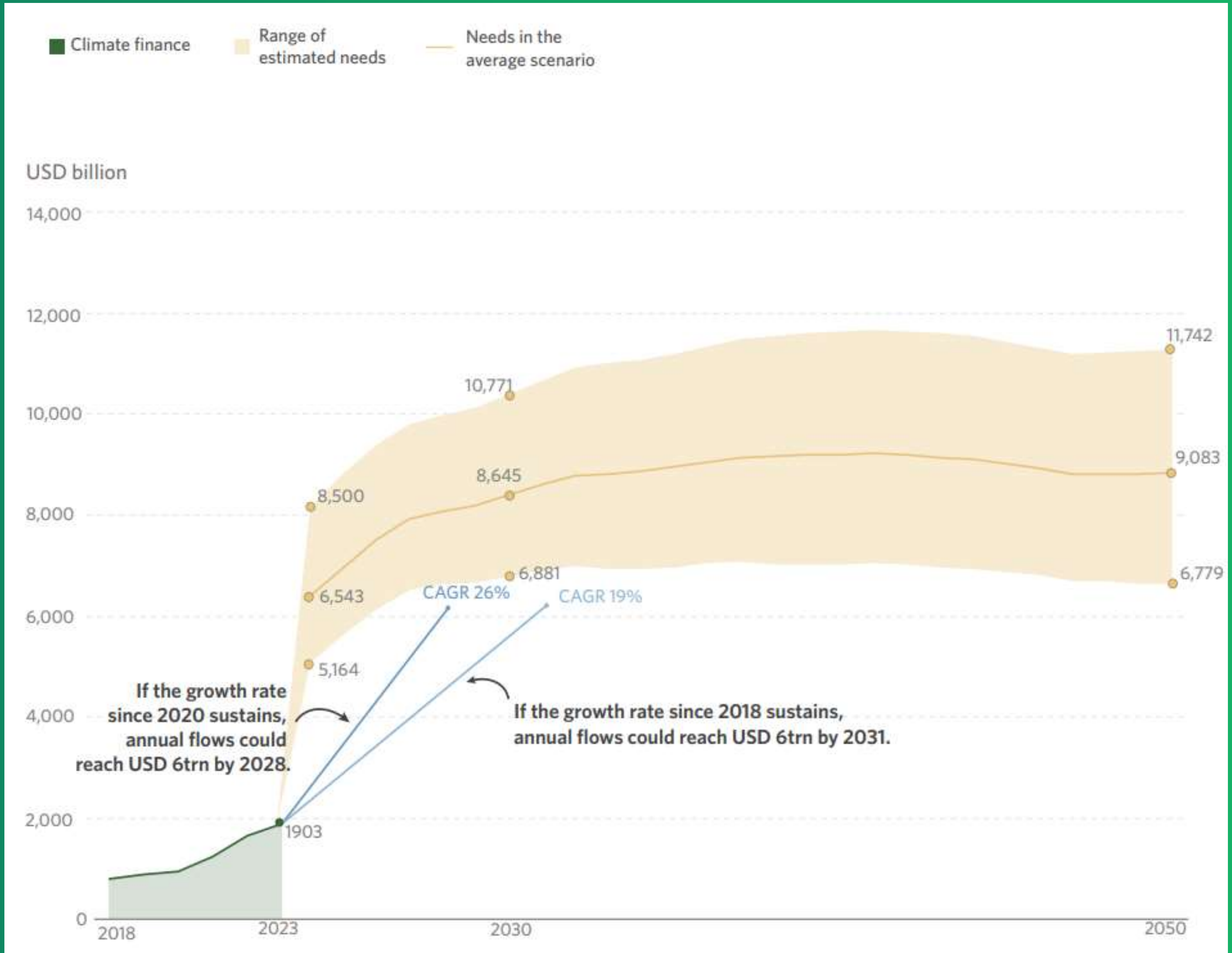


Source: CPI Global Landscape of Climate Finance 2025

ClimFin

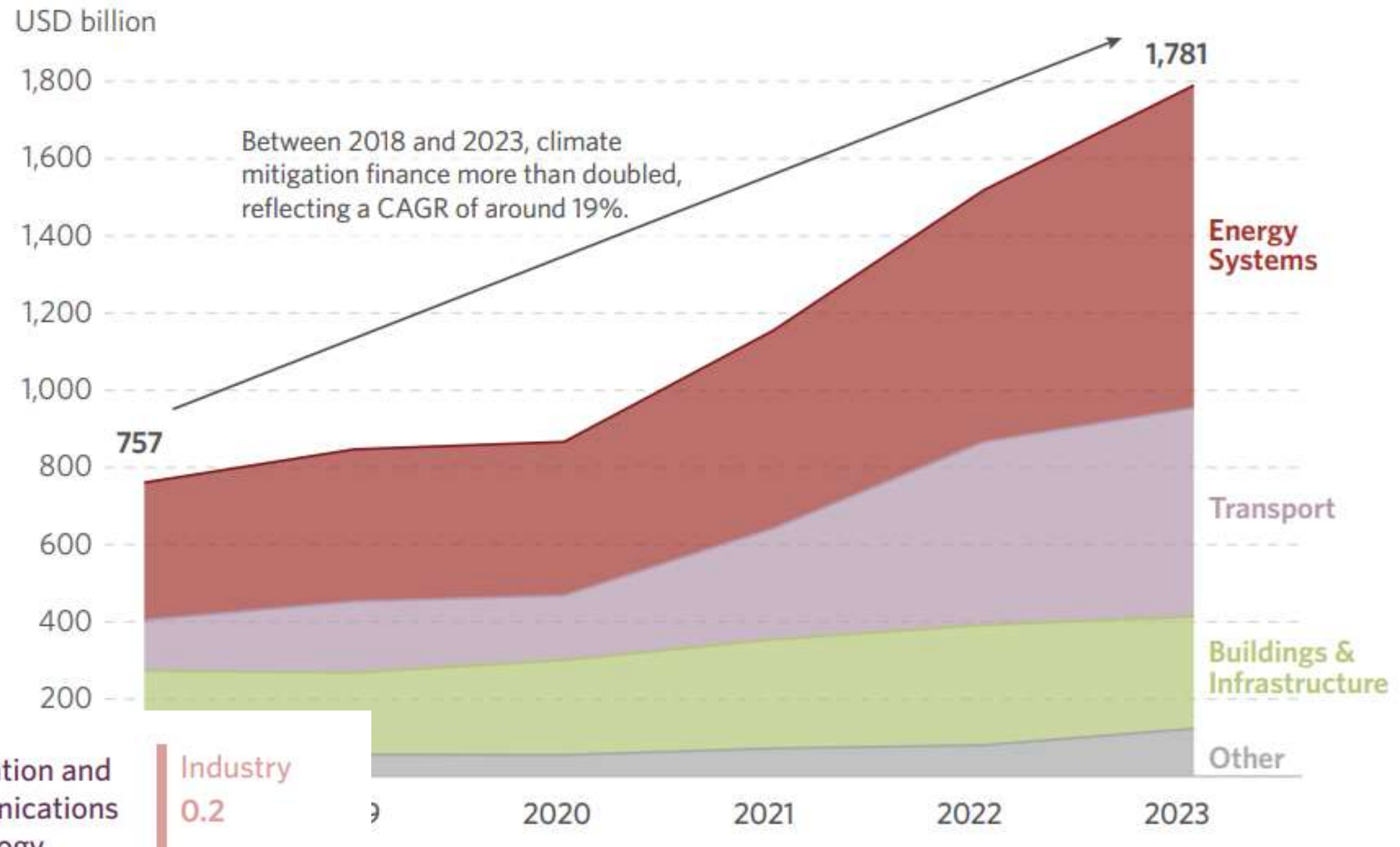
Climate Finance Needs

CPI states:
Average of USD 6.3 trillion in annual climate finance will be needed from 2024 to 2050 to avoid the worst impacts of climate change

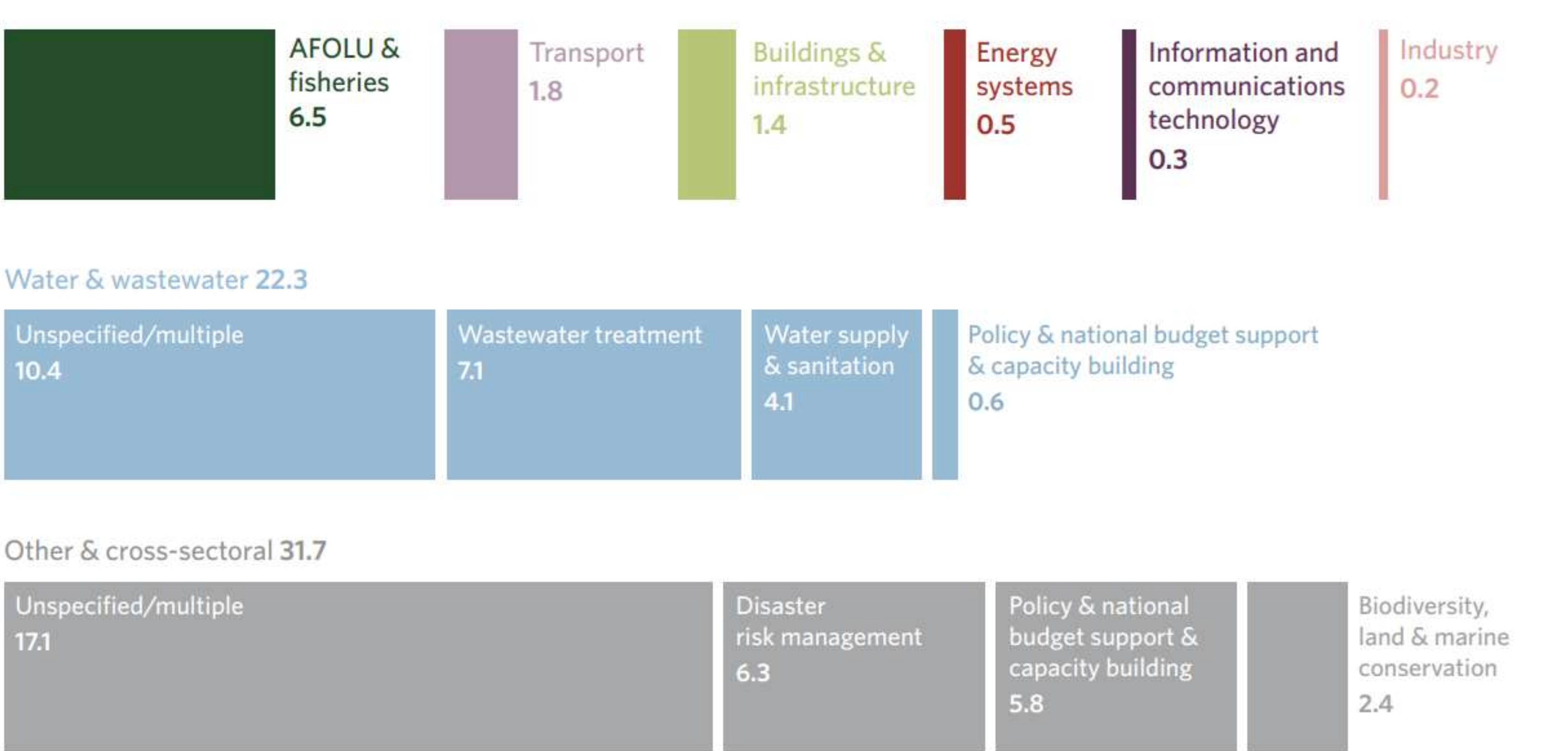


Source: CPI Global Landscape of Climate Finance 2025

Which sectors get the most climate finance?



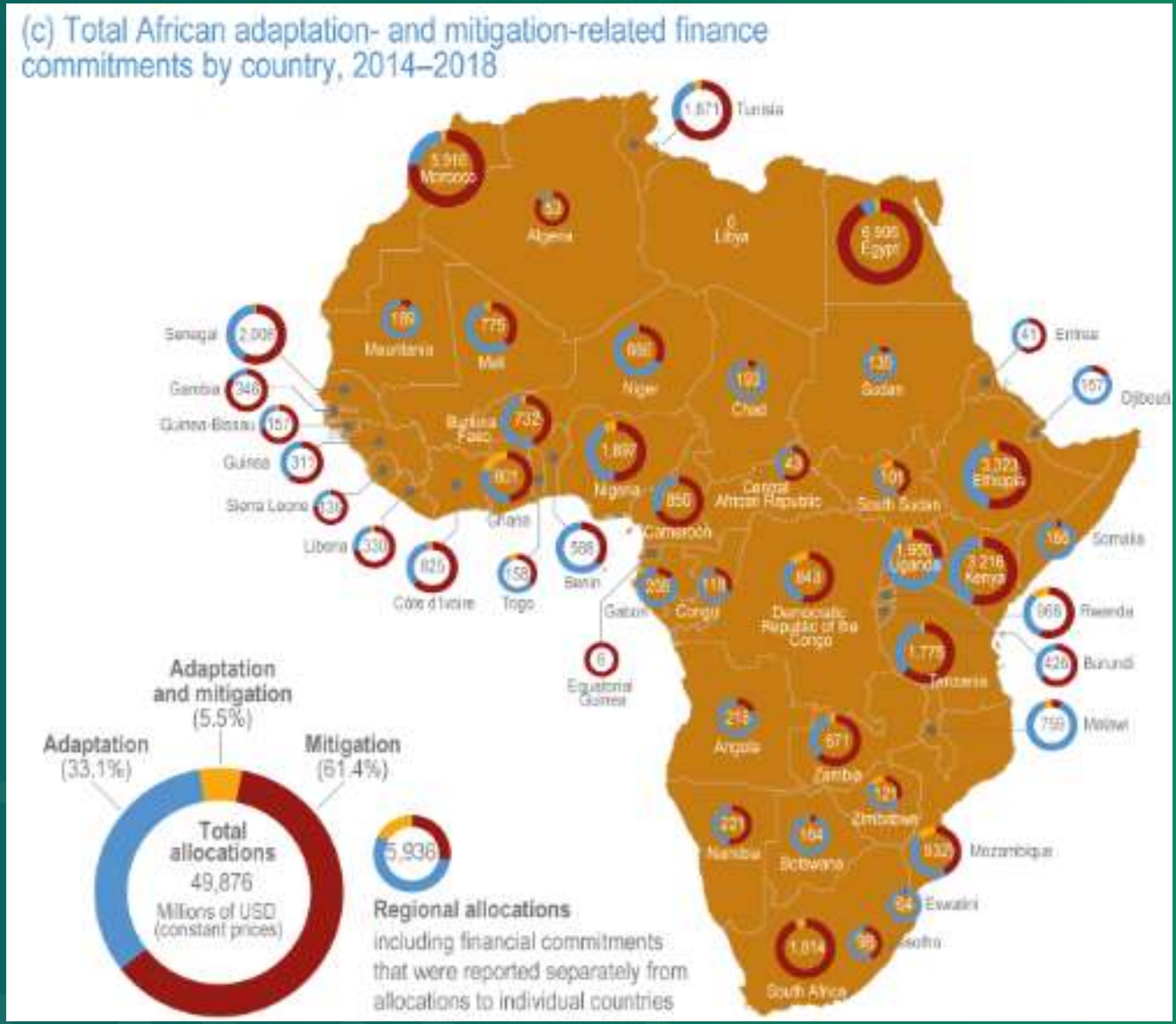
Adaptation finance by sector

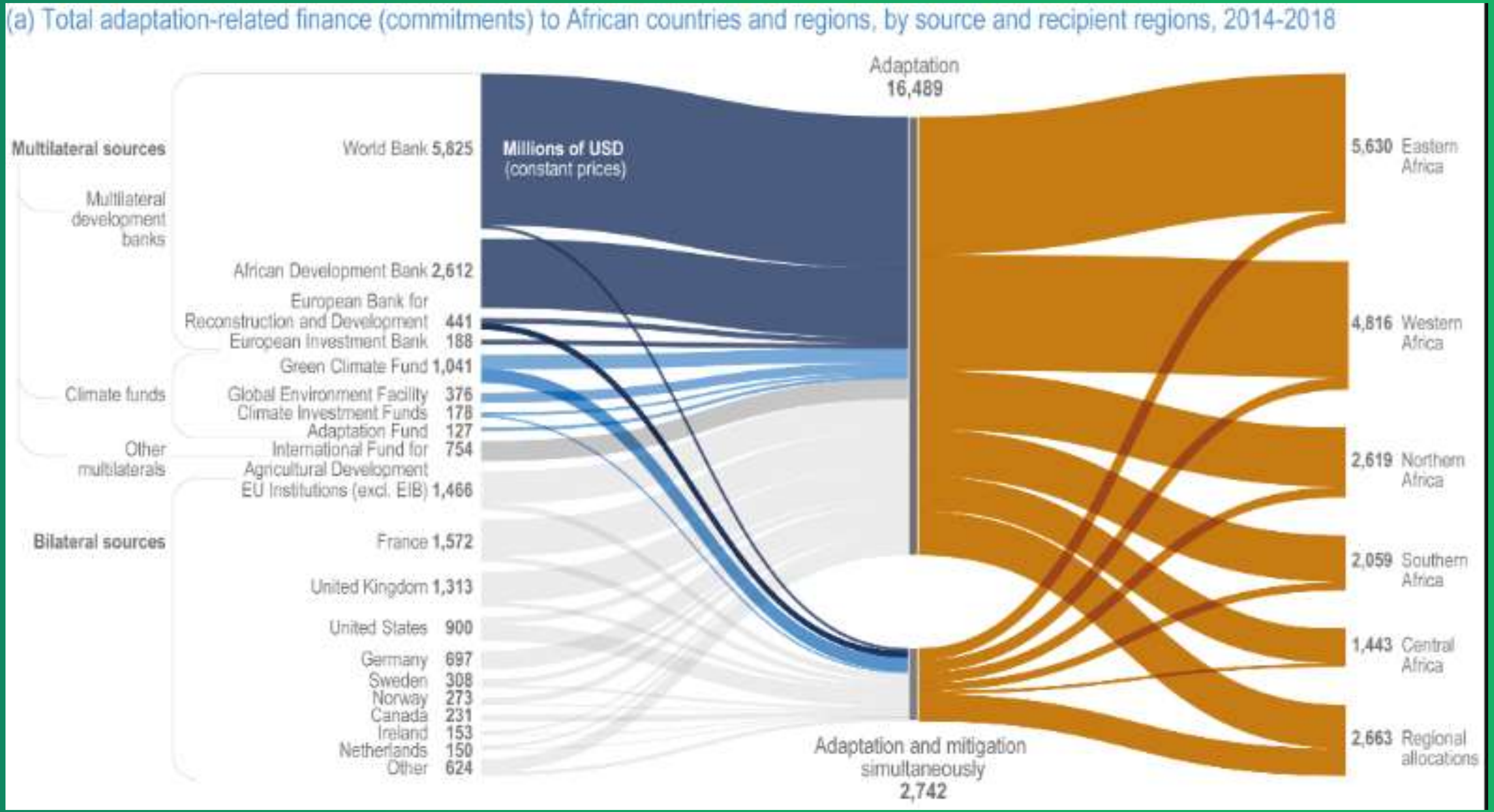


Mitigation finance by sector

Source: CPI Global Landscape of Climate Finance 2025

Climate Finance Commitments targeting African Countries

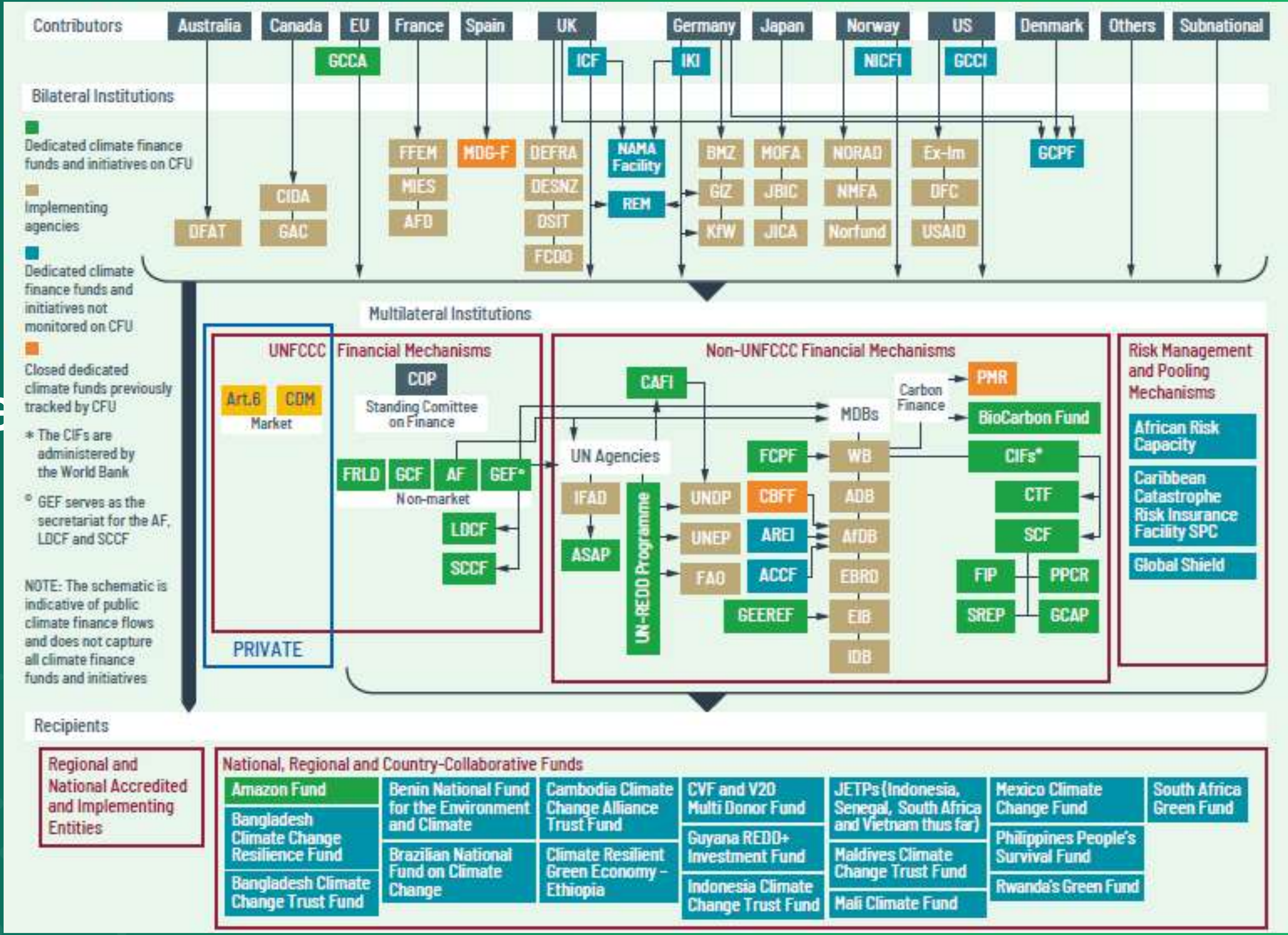




Source: https://www.ipcc.ch/report/ar6/wg2/chapter/chapter-9/

ClimFin

Global Climate Finance Architecture



Source: Climatefundsupdate.org

UNFCCC Climate Funds: Green Climate Fund (GCF)

GCF is the largest dedicated climate fund

The activities supported covering the entire spectrum of climate finance sectors across mitigation and adaptation

Financing instruments: grants, concessional loans, equity, and guarantees

Eligibility: all developing country Parties to the UNFCCC are eligible to receive resources from the GCF

Access:

GCF project/programme financing can be accessed by organizations accredited to the GCF – Accredited Entities

UNFCCC Climate Funds: Adaptation Fund (AF)

The AF was established to finance adaptation projects and programmes,

Activities supported: food security, agriculture, water management and disaster risk reduction projects for the promotion of community resilience.

Financing instruments: Grants. No requirement for co-financing

Eligibility: The AF supports developing countries that are parties to the Kyoto Protocol, especially those that are particularly vulnerable to the adverse effects of climate change, such as SIDS and LDCs

Access: The Fund can be accessed by implementing agencies that are accredited to the AF

UNFCCC Climate Funds: Global Environment Facility

GEF supports mitigation, adaptation and cross-cutting activities

Financing instruments: primarily grant based; limited scale non-grant instruments such as concessional loans

Eligibility: A country is an eligible recipient of GEF finance if it is eligible to receive World Bank — International Bank for Reconstruction and Development (IBRD) and/or International Development Association (IDA) — financing and if it is an eligible recipient of United Nations Development Fund (UNDP) technical assistance

Access: GEF resources can be accessed through accredited GEF agencies or, in the case of certain enabling activities, through a direct access modality, in addition, the GEF country support programme assists member countries in programming and accessing GEF resources

Includes the Special Climate Change Fund (SCCF) and the Least Developed Country Fund (LDCF)

UNFCCC Climate Funds: Fund for responding to Loss and Damage

Newly established Fund under the UNFCCC climate finance architecture

Mandated to *“assist developing nations that are particularly vulnerable to the adverse effects of climate change in responding to economic and non-economic loss and damage associated with the adverse effects of climate change, including extreme weather events and slow onset events.”*

As of June 30th, 2025, a total of USD 788.80 million has been pledged to the FRLD.

Non-UNFCCC Climate Funds: Multilateral Development Banks

MDBs are international financial institutions established by multiple countries. They provide financial and technical assistance to support development projects, including climate-related initiatives, in member countries

In 2023, MDBs made USD 59 billion in climate finance commitments

Financing Modalities: Concessional loans, non-concessional loans, equity, guarantees, and grants (primarily for projects in low-income or highly vulnerable countries and aimed at capacity building, feasibility studies, and technical assistance)

Examples:

- World Bank
- Climate Investment Funds:
  - Clean Technology Fund (CTF)
  - Strategic Climate Fund (SCF)
- European Investment Bank (EIB)
- African Development Bank:
  - Africa Climate Change Fund (ACCF)
  - Climate Action Window
  - Sustainable Energy Fund For Africa (SEFA)

Bilateral Finance

Bilateral sources come from individual countries or organizations of countries like the EU

Bilateral Transactions are made by a donor country directly to a developing country

Most developing countries channel climate financing largely through existing Overseas Development Aid commitments

Examples:

- Austrian Development Agency (ADA)
- Japan International Cooperation Agency (JICA)
- UK Department for International Development (DFID)
- Germany’s IKI and KfW

Private Sector

Private Investment Funds are funds from private entities (usually fund management companies) that invest in projects they consider to have commercial potential and financial return

Some private sector investors also want their savings to have a positive impact on the environment and society, and so consider the positive impact they generate through investments as part of their return on investment

Private investment funds may have different objectives:

- Traditional: aim to maximize the return on invested capital
- Responsible: investments comply with environmental, social and governance criteria, and aim to maximize shareholder returns while respecting these criteria
- Impact: aim to generate a positive impact on society and provide a return to investors

To close the climate finance gap, engaging the private sector is vital as public funds cannot tackle financing in developing countries needs alone

However, many private investors look for a risk-return profile when investing – Many climate finance investments do not have a good enough risk return profile

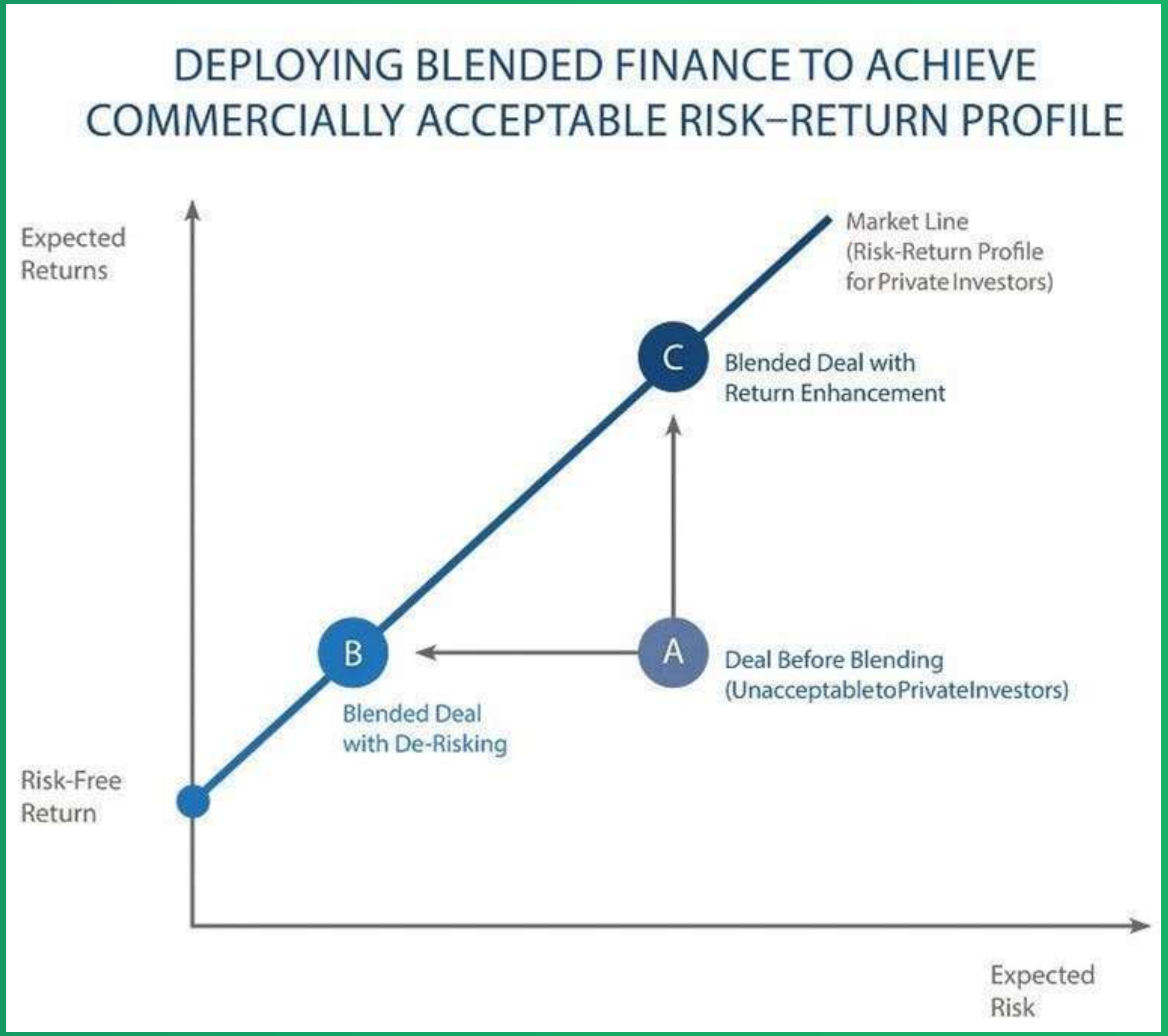
How to increase private sector investments?

Increase returns or reduce risk (or both)

There are multiple grant/concessionary products to combine (or 'blend') to improve risk-return profile

Reduce risk
- Guarantees and first-loss
- Insurance
- Technical Assistance
- Seed grants

Improve returns
- Concessional debt or equity
- Subsidies and incentives
- Results-based finance
- Offer junior capital



Blended finance

Blended finance is the strategic use of development finance (public) for the mobilization of additional finance (private sector) towards sustainable development in developing countries

Increases Return on Investment or decreases risk (derisking)!

Blended finance involves sometimes complex, multi-partner deal structuring

- Grant, equity, debt
- Seniority of stake

The goal is to bring more money to bear on development problems.

Blended finance

Blended finance is a key tool in climate finance

An analysis by Convergence found that Climate blended finance accounts for about 57% of market capitalization ($132 billion) and half of all deals recorded across all years.

Source: Convergence State of Blended Finance 2024: Climate Edition

Key Blended finance Actors and Roles

ClimFin

Capital Providers
- E.g., World Bank, Green Climate Fund, Philanthropies, NGOs

Transaction Advisory Services / Investment Facilitation
- E.g., CrossBoundary, Pollination

Technical Assistance Facilities ("sidecar")

De-Risking products
- E.g., Development Finance Corporation

Example Investment Facilitation Activities

Investment Process Stage	Origination	Due Diligence	Structuring and Negotiation	Value Creation and Realization
Investor ("buy-side") portion of process	Scan market and identify pipeline of potential deals	Conduct due diligence and fill information gaps	Choose investment instrument and structure	Close transaction and begin value creation
Example Investment Facilitation Activities	• Providing country / sector overview materials • Capital mapping and investor profiling • Developing investment pipelines and profiling opportunities • Analyzing value chain • Market sizing • Networking	• Analyzing market and competitors • Developing business plan and financial model • Conducting financial and commercial due diligence • Holding investor road shows	• Acting as an "honest broker" • Mitigating information asymmetries • Sharing example template legal documents • Researching comparable transactions • Relationship management	• Creating 100-day value creation plan • Providing governance recommendations • Providing status reports • Monitoring investments • Positioning strategically for follow-on investment
Company/ Project ("sell side") portion of process	Understand universe of available capital options	Pitch and position for investment	Understand and negotiate terms	Build business for follow-on investment

Blended Finance Guiding Principles

Climate and Blended Finance are a means to an end. Some suggested principles for its use:

- Simplicity: Keep it simple to maximize chances of successful execution. Avoid over engineering, which sometimes happens with blended finance solutions.
- How do I get paid back? Crucial for private finance. Often gets a bit forgotten.
- Tailored to local users/needs: No products “in a bubble”. No “hammer seeking nails”. Build for local partners.
- Integrated with a broader set of solutions: It’s just a piece of a broader puzzle. Not this quasi-magical answer to all your problems. Policy and institutions still matter (a lot).
- Flexibility/Modularity: Build flexible products to allow for lessons learned and iteration during execution.
- Impact and Tradeoffs: Be clear about what are we looking to impact and what are we leaving out.
- Additionality: Make sure you that blended finance solution is crowding in private investors and that you aren’t actually squeezing some of them out!